

Calendar Line 4

Case Name: *Karen Sbriglio, et al. v. Shantanu Narayen, et al.*

Case No.: 24CV429458 (consolidated with 25467627)

This is a consolidated derivative action brought on behalf of Adobe, Inc. (“Adobe”) against defendants Shantanu Narayen, Christiano Amon, Amy Banse, Brett Biggs, Melanie Boulden, Frank Calderoni, Laura Desmond, Spencer Neumann, Kathleen Oberg, Dheeraj Pnadey, David Ricks, and Dan Rosenweig (collectively, “Defendants”) for breach of fiduciary duty, waste of corporate assets, and unjust enrichment.

Before the Court is Defendants’ motion to stay, which is opposed. As discussed below, the Court DENIES Defendants’ motion for a stay pending final resolution of the Securities Action, and GRANTS their motion for a stay pending final resolution of the Securities Appeal.

I. BACKGROUND

According to the allegations of the operative consolidated shareholder derivative complaint (“FAC”), Adobe is a software company that offers a range of productivity and digital design applications on a subscription basis for, among other things, sharing documents, editing pictures, and designing webpages in the user interface and user experience (“UI/UX”) software design tools industry. (FAC, ¶ 2.) Adobe’s UI/UX design tool is Adobe XD (“XD”), a design tool for creating user interfaces in web and mobile apps. (*Ibid.*) Adobe’s products are part of its Digital Media business that is responsible for a substantial majority of the Company’s revenues. (*Ibid.*)

This action arises from Defendants’ conduct, which involved a scheme to conceal the competitive threat of Figma, Inc. (“Figma”). (FAC, ¶ 3.) They represented that it was not a threat to Adobe’s business while they internally developed a plan to acquire it. (FAC, ¶¶ 7-8.) On September 15, 2022, Adobe announces a deal to acquire Figma. (FAC, ¶ 8.) Investors and analysts understood that the deal was to protect Adobe and not a legitimate acquisition attempt. (FAC, ¶ 9.) As a result, the stock price dropped. (*Ibid.*) Defendants defended the proposed merger, and they revealed the extent of Adobe XD’s failure and Adobe’s inability to compete in the design tools market, which sent Adobe’s stock price even lower. (FAC, ¶ 10.)

Various regulatory agencies stepped in, including the U.K. Competition and Markets Authority (“CMA”), which acted first and based on its investigation, it issued a provisional conclusion that the deal would harm competition in the global market: for all-in-one product design software for professional users; vector editing software; and raster editing software. (FAC, ¶ 13.) Based on those findings and after a meeting with high-level officials from the U.S. Department of Justice (“DOJ”), adobe was forced to terminate the acquisition and make a \$1 billion payment to Figma for doing so. (FAC, ¶ 14.)

Based on the foregoing, Plaintiff Karen Sbriglio filed her shareholder derivative action on January 18, 2024 and Plaintiff Robert Daniel filed his action on May 28, 2025. On February 6, 2026, the Court issued its order which granted Plaintiff Daniel’s motion for appointment of lead counsel and denied Plaintiff Sbriglio’s motion for appointment of lead plaintiff and lead counsel. On March 16, 2026, Plaintiffs filed their consolidated stockholder derivative complaint.

II. MOTION TO STAY

Adobe seeks an order staying the instant action pending final resolution of the securities class action captions *In re Adobe Inc. Securities Litigation*, Civil Action No. 1:23-cv-09260-JGK, (the “Securities Action”), filed in the United States District Court for the Southern District of New York (the “District Court”) or alternative, pending final resolution of the appeal (the “Securities Appeal”) currently before the U.S Court of Appeals for the Second Circuit (the “Second Circuit”).⁴ (Defendants’ Motion, p. 2:9-15.)

A. Legal Standard

Trial courts may stay proceedings for a variety of reasons, including based on the court’s inherent authority. (*Frieberg v. City of Mission Viejo* (1995) 33 Cal.App.4th 1484, 1489 [“[t]rial courts generally have the inherent power to stay proceedings in the interest of justice and to promote judicial efficiency”].) “[T]he power to stay proceedings is incidental to the power inherent in every court to control the disposition of the causes on its docket with economy of time and effort for itself, for counsel, and for litigants.” (*Landis v. N. Am. Co.* (1936) 299 U.S. 248, 254.) The trial court’s inherent power to exercise reasonable control over all proceedings connected with the litigation before it “rests upon and is limited by the exercise of sound judicial discretion.” (*Bailey v. Fosca Oil Co.* (1963) 216 Cal.App.2d 813, 818.)

“When a federal action has been filed covering the same subject matter as is involved in a California action, the California court has the discretion but not the obligation to stay the state court action.” (*Caiafa Prof. Law Corp. v. State Farm Fire & Cas. Co.* (1993) 15 Cal.App.4th 800, 804 (*Caiafa*).) “In exercising its discretion the court should consider the importance of discouraging multiple litigation designed solely to harass an adverse party, and of avoiding unseemly conflicts with the courts of other jurisdictions. It should also consider whether the rights of the parties can best be determined by the court of the other jurisdiction because of the nature of the subject matter, the availability of witnesses, or the stage to which the proceedings in the other court have already advanced.” (*Farmland Irrigation Company v. Dopplmaier* (1957) 48 Cal.2d 208, 215 [citing *Simmons v. Superior Court* (1950) 96 Cal.App.2d 119, 123-131 and *Pesauera del Pacifico, S. de R. L. v. Superior Court* (1949) 89 Cal.App.2d 738, 740-741]; See also *Caiafa*, *supra*, 15 Cal.App.4th at p. 804.)

B. Analysis

Defendants argue this action should be stayed considering the substantial overlap between this action and the Securities Action as active litigation of this action risks significant harm to Adobe by forcing it to take positions in this case that would prejudice its defense of the Securities Action. (Defendants’ Motion, p. 16:12-15.) They further argue that a temporary stay would promote efficiency and judicial economy. (Defendants’ Motion, p. 16:15.) In opposition, Plaintiff Daniel argues that Defendants’ request ignores the significant differences between the instant action and the Securities Action; Defendants’ reason for the stay is

⁴ On November 10, 2025, the District Court entered judgment dismissing the complaint and the matter is now on appeal.

speculative and hypothetical; and judicial efficiency and economy and prejudice weigh against staying this action. (Daniel's Opposition ("Opp."), p. 1:14-20.)

On October 20, 2023, the Securities Action was filed in the Southern District of New York, and it asserts claims under sections 10, subdivision (b) and 20, subdivision (a) of the Securities Exchange Act against Adobe and individual executives on behalf of Adobe common stock purchasers from July 23, 2021 to September 22, 2022. The conduct at issue includes misleading statements made regarding the acquisition. In March 2025, the District Court granted the defendants' motion to dismiss and on November 7, 2025, it denied the plaintiffs' motion for leave to file a second amended complaint. On November 10, 2025, the District Court entered the judgment dismissing the action and the plaintiffs appealed. The appeal is still pending.

On November 16, 2023, a stockholder derivative action on behalf of Adobe was filed in the United States District Court for the District of Delaware, *Shah v. Narayen, et al.* (*Shah*) and on January 3, 2024, a second stockholder derivative action was filed in the same court, *Gervat v. Narayen, et al.* (*Gervat*). They assert claims under Delaware law for breach of fiduciary duty and waste of corporate assets based on largely the same conduct against Adobe's current and former officers and directors. *Shah* and *Gervat* were consolidated into a single action and subsequently stayed pending the final resolution of the motion to dismiss in the Securities Action, pursuant to the parties' joint stipulation. On January 29, 2024, another stockholder derivative action was filed in the District Court, *Roy v. Narayen, et al.* (*Roy*), it asserts similar allegations and claims, and it is also stayed.

The instant action alleges Defendants breached their fiduciary duties by making allegedly misleading statements regarding Figma's competition with Adobe and by entering into the acquisition despite the risk of regulatory scrutiny. Based on the foregoing, Defendant argues the instant action substantially overlaps with the Securities Action and thus, it should be stayed pending the resolution of the appeal.

Here, the operative facts overlap between the instant action and the Securities Action as both arise from the acquisition of Figma and the purported misrepresentations related to Figma's status as a competitor. However, only one individual defendant (Defendant Narayen) is involved in both actions. Moreover, the Securities Action asserts securities fraud claims under federal law whereas, the instant action asserts claims for breach of fiduciary duty, waste of corporate assets, and unjust enrichment claims under state law. Additionally, the instant action seeks to recover the \$1 billion termination fee and reform to the corporate governance, which is not sought in the Securities Action. (See FAC, ¶¶ 140-143, Prayer for Relief, A-B.) Thus, regardless of the outcome of the appeal, the Securities Action will not overlap with the instant action on this relief.

Nonetheless, the distinctions in relief and named defendants in the actions do not overcome the fact that the actions arise from overlapping factual allegations pertaining to the competition between Adobe and Figma, the proposed acquisition and the outcome of the acquisition.

Next, Defendants argue that, in the Securities Action, Adobe "successfully argued that none of the challenged statements about competition generally or with Figma specifically was false or misleading because Adobe disclosed competition between XD and Figma; there was no meaningful competition between Figma and Adobe's Photoshop or Illustrator products as the CMA itself found; and many of the statements were not actionable under various legal

doctrines and thus could not expose Adobe to liability in any event.” (Defendants’ Motion, p. 17:12-20.) Defendants contend that Adobe would have to make the exact opposite argument in the instant action, which would harm Adobe’s litigation prospects. (Defendants’ Motion, p. 18:6-13.) As the matter is on appeal, it appears that Defendants’ argument regarding the potential of contradictory positions is contingent upon a reversal of the District Court’s order dismissing the Securities Action. The Court agrees that if this were to occur, proceeding with the instant action could require Adobe to advance a conflicting position in this action. However, at this time, such an outcome and the risk of Adobe having to advance conflicting positions is speculative. On this point, the instant action is factually distinguishable from *In re STEC, Inc. Derivative Litig.* (C.D.Cal. Jan. 11, 2012) 2012 U.S. Dist. LEXIS 189167 at * 6 (*In re STEC*) and *In re RHS S’holder Derivative Litig.* (N.D.Cal Jan 23, 2019) U.S. Dist. LEXIS 11128 at *5 (*In re RHS*) because in those cases, the motion to dismiss the securities class actions were denied in part or in full. Whereas here, the motion to dismiss was granted with prejudice. Thus, in this Court’s view, the risk of harm to Adobe in allowing the instant action to proceed is more attenuated as it depends on the outcome of the Securities Appeal. On this basis, the Court is not persuaded that this potential risk supports staying the instant action through the final resolution of the Securities Action.

Third, Defendants argue that it would promote judicial efficiency and economy to stay this action as Plaintiff seeks costs incurred in defending and paying any settlement in the Securities Action, thus, it would be efficient to litigate the action giving rise to those harms before this action proceeds. (Defendants’ Motion, p. 20:1-12.) Defendants’ further argue that the other derivative actions (*Shah*, *Gervat*, and *Roy*) are stayed pending the outcome of the Securities Appeal. On this basis, Defendants argue that a stay of the instant action would promote judicial economy and efficiency because it would ensure that the derivative actions will not proceed on different tracks. (Defendants’ Motion, p. 20:17-21.) In opposition, Plaintiff Daniel argues that both actions are in the early stages and denying the motion would allow this action to proceed in a timely manner. (Opp., p. 11:5-7.) He further argues that the other cases were stayed voluntarily, thus, there is no risk of duplicative discovery efforts at this stage because the plaintiffs have not overcome pleading challenges by Defendants. (Opp., p. 12:7-10.) Defendants state that the appeal is set for oral argument for the week of December 7, 2026. (Defendants’ Reply, p. 5:1, fn. 1)

As noted above, part of Plaintiffs’ damages theory is predicated on the outcome of the Securities Action. While the Securities Appeal will not address the instant action in its entirety due to the distinctions arising from the legal theories, potential harms, and differing defendants, it does appear that judicial efficiency and economy would be furthered by a stay of the instant action through the resolution of the Securities Appeal.

Lastly, Defendants contend that Plaintiffs will not be prejudiced by a stay because the request is limited to the pendency of the Securities Action, which is on appeal. (Defendants’ Motion, p. 21:2-3.) In opposition, Plaintiff Daniel argues that Plaintiffs will be prejudiced by the threat of lost documents, fading memories, and the delay to obtaining relief with regard to corporate governance. (Opp., p. 2:17-20.) It is undisputed that neither case has proceeded to discovery. On this basis, there is a risk of delay-related harm to Plaintiffs such that an indefinite stay through the resolution of the Securities Action is not supported because resolution of the Securities Appeal does not necessarily mean full resolution of the Securities Action.

On balance, the Court finds that a stay of the instant action through the final resolution of all aspects of the Securities Action is not warranted here. However, it is persuaded that a stay through the resolution of the Securities Appeal is supported here overlapping nature of the actions, the fact that oral argument has been set for the Securities Appeal, and the furtherance of judicial efficiency and economy. Furthermore, a limited stay will likely avoid the risk of prejudice identified above, and it will bring the instant action in line with the other derivative actions and thus, will avoid duplicative efforts and piecemeal litigation.

Based on the foregoing, Defendants' motion for a stay pending final resolution of the Securities Action is DENIED, and their motion for a stay pending final resolution of the Securities Appeal is GRANTED.

III. CONCLUSION

Defendants' motion for a stay pending final resolution of the Securities Action is DENIED, and their motion for a stay pending final resolution of the Securities Appeal is GRANTED.

The Court will prepare the order.

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Calendar Lines 5-6

Case Name: *In Re Maxar Data Security Litigation*

Case No.: 24CV452108 (consolidated with 24CV454292)

This class action arises from a purportedly preventable data breach due to defendant Maxar Space LLC's and Maxar Space Robotics LLC's (collectively "Defendant" or "Maxar") inadequately protected computer network.

Before the Court is plaintiffs Cynthia Replogle's and Philipp Covington's (collectively, "Plaintiffs"): (1) motion for final approval of settlement; and (2) motion for attorneys' fees, expenses, and service awards, which are both unopposed. As discussed below, the Court GRANTS Plaintiffs' motion for final approval; and GRANTS Plaintiffs' motion for attorneys' fees, expenses, and service awards.

VII. BACKGROUND

According to the allegations of the operative Complaint, on October 11, 2024, Defendant discovered that unauthorized cybercriminals had conducted a successful cybersecurity attack whereby they infiltrated Defendant's inadequately secured computer network and gained unauthorized access to the personal information of likely thousands of current and former employees whose data was stored within Defendant's system. (Complaint, ¶¶ 1, 21.) Following a forensic investigation, it was determined that the type of Personal Information accessed by cyber criminals which included names, social security numbers, home addresses, gender, employment information, and business contact information of Plaintiff and Class Members. (Complaint, ¶ 22.)

Based on the notice that Plaintiff received, it is plausible and likely that Plaintiff's personal information was stolen in the data breach. (Complaint, ¶ 23.) Defendant had obligations created by industry standards, common law, statutory law, and its own assurances and representations to keep Plaintiffs' and Class Members' information confidential and to protect it from unauthorized access. (Complaint, ¶ 25.) Defendant failed to spend sufficient resources on preventing external access, detecting outside infiltration, and training its employees to identify email-borne threats and defend against them. (Complaint, ¶ 26.)

Based on the foregoing, Plaintiff Replogle initiated this action on November 19, 2024, with the filing of the operative Complaint, which asserts the following causes of action: (1) negligence; (2) breach of implied contract; (3) violation of the California Consumer Privacy Act (Civ. Code, §§ 1798.100, *et seq.*); and (4) violation of the California Consumer Records Act (Civ. Code §§ 1798.80, *et seq.*) On April 15, 2025, the Court (Hon. Adams) issued its order consolidating the instant action with Plaintiff Covington's case. On March 26, 2026, the